ANNUAL OPERATING BUDGET

Sterling Whitaker Marketplace | Cincinnati, OH

Property	Sterling Whitaker Marketplace
Fiscal Year	2021
Submitted By	Cobblestone Property Co.
Submitted	August 14, 2023

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$90,881	$87,012	$91,747	$866	1.0%	$2,414.39
5010 Loss to Lease	$509,573	$492,015	$525,964	$16,392	3.2%	$13,841.17
5020 Vacancy Loss	$193,635	$186,489	$197,839	$4,204	2.2%	$5,206.29
5030 Concessions	$267,053	$252,079	$258,074	-$8,979	-3.4%	$6,791.43
5040 Bad Debt	$408,164	$425,060	$440,349	$32,185	7.9%	$11,588.13
5050 Late Fees	$612,485	$582,669	$585,542	-$26,944	-4.4%	$15,408.99
5060 Utility Reimbursements	$453,630	$450,232	$467,029	$13,399	3.0%	$12,290.25
5070 Parking Income	$441,560	$434,393	$434,628	-$6,932	-1.6%	$11,437.57
5080 Application Fees	$157,189	$159,786	$170,468	$13,279	8.4%	$4,486.01
5090 Pet Rent	$376,741	$391,223	$410,294	$33,553	8.9%	$10,797.22
5100 Laundry Income	$223,702	$235,398	$248,107	$24,405	10.9%	$6,529.13
5110 Cable/Internet Revenue	$275,588	$258,148	$258,174	-$17,414	-6.3%	$6,794.06
5120 CAM Reimbursements	$607,434	$626,550	$647,801	$40,367	6.6%	$17,047.40
5130 Tax Reimbursements	$610,861	$607,700	$641,395	$30,534	5.0%	$16,878.81
5140 Insurance Reimbursements	$94,567	$92,412	$97,579	$3,012	3.2%	$2,567.87
5150 Percentage Rent	$141,953	$139,547	$147,220	$5,267	3.7%	$3,874.21
5160 Misc. Income	$606,415	$606,868	$648,688	$42,273	7.0%	$17,070.72
5170 Payroll - Management	$315,141	$325,677	$346,002	$30,861	9.8%	$9,105.32
5180 Payroll - Leasing	$111,630	$114,543	$114,850	$3,220	2.9%	$3,022.36
5190 Payroll - Maintenance	$145,993	$141,336	$148,943	$2,949	2.0%	$3,919.54
5200 Payroll Taxes & Benefits	$235,183	$238,579	$252,416	$17,233	7.3%	$6,642.51
5210 Repairs - Plumbing	$445,851	$481,465	$483,912	$38,061	8.5%	$12,734.53

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5430 Legal & Professional	$165,053	$169,283	$173,661	$8,608	5.2%	$4,570.04
5440 Accounting & Audit	$480,773	$498,184	$508,529	$27,756	5.8%	$13,382.35
5450 Licenses & Permits	$136,030	$129,094	$137,369	$1,339	1.0%	$3,614.98
5460 Management Fee	$687,700	$684,884	$721,327	$33,627	4.9%	$18,982.28
5470 Property Insurance	$572,249	$557,765	$582,179	$9,929	1.7%	$15,320.49
5480 Real Estate Taxes	$691,153	$692,416	$730,863	$39,709	5.7%	$19,233.23
5490 Asset Management Fee	$210,010	$199,620	$208,808	-$1,202	-0.6%	$5,494.95
5500 Replacement Reserves	$69,150	$66,659	$67,218	-$1,932	-2.8%	$1,768.90
5510 Roof Repairs	$280,488	$269,638	$284,143	$3,655	1.3%	$7,477.45
5520 Parking Lot Repairs	$126,133	$131,566	$136,876	$10,742	8.5%	$3,601.99
5530 Signage	$306,076	$302,425	$315,161	$9,085	3.0%	$8,293.71
5540 Tenant Improvements	$93,308	$99,718	$106,140	$12,833	13.8%	$2,793.16
5550 Leasing Commissions	$409,575	$395,426	$397,801	-$11,774	-2.9%	$10,468.46
5000 Gross Potential Rent	$623,321	$667,755	$682,904	$59,583	9.6%	$17,971.15
5010 Loss to Lease	$135,971	$136,345	$137,361	$1,390	1.0%	$3,614.75
5020 Vacancy Loss	$664,958	$662,891	$690,735	$25,778	3.9%	$18,177.24
5030 Concessions	$498,185	$460,946	$461,568	-$36,617	-7.4%	$12,146.52
5040 Bad Debt	$212,490	$211,742	$226,313	$13,823	6.5%	$5,955.59
5050 Late Fees	$79,339	$82,958	$83,762	$4,422	5.6%	$2,204.25
5060 Utility Reimbursements	$122,280	$125,547	$129,454	$7,174	5.9%	$3,406.69
5070 Parking Income	$311,380	$306,572	$318,413	$7,032	2.3%	$8,379.28
5080 Application Fees	$501,763	$493,481	$501,895	$132	0.0%	$13,207.77
5090 Pet Rent	$478,645	$487,585	$519,593	$40,948	8.6%	$13,673.50
5100 Laundry Income	$41,511	$41,188	$42,721	$1,210	2.9%	$1,124.24
5110 Cable/Internet Revenue	$660,680	$699,465	$730,857	$70,178	10.6%	$19,233.09
5120 CAM Reimbursements	$668,140	$688,762	$712,321	$44,181	6.6%	$18,745.29
5130 Tax Reimbursements	$601,566	$593,887	$602,510	$944	0.2%	$15,855.53
5140 Insurance Reimbursements	$405,993	$376,337	$385,257	-$20,735	-5.1%	$10,138.35
5150 Percentage Rent	$492,831	$525,362	$546,165	$53,335	10.8%	$14,372.78
5160 Misc. Income	$681,299	$707,451	$738,136	$56,837	8.3%	$19,424.63
5170 Payroll - Management	$173,414	$184,225	$185,347	$11,933	6.9%	$4,877.56
5180 Payroll - Leasing	$324,985	$307,384	$325,653	$668	0.2%	$8,569.82
5190 Payroll - Maintenance	$110,156	$117,488	$120,577	$10,421	9.5%	$3,173.09
5200 Payroll Taxes & Benefits	$41,102	$39,721	$40,813	-$289	-0.7%	$1,074.02
5210 Repairs - Plumbing	$65,625	$68,346	$69,142	$3,517	5.4%	$1,819.51
5220 Repairs - HVAC	$674,232	$655,344	$671,037	-$3,195	-0.5%	$17,658.87
5230 Repairs - Electrical	$505,601	$485,565	$487,178	-$18,423	-3.6%	$12,820.47
5240 Repairs - Appliances	$165,497	$162,653	$173,207	$7,710	4.7%	$4,558.07
5250 Painting & Decorating	$548,520	$525,751	$550,838	$2,318	0.4%	$14,495.72
5260 Flooring	$97,959	$99,149	$103,122	$5,164	5.3%	$2,713.74
5270 Make-Ready / Turnover	$499,785	$461,433	$486,195	-$13,590	-2.7%	$12,794.61
5280 Landscaping Contract	$253,232	$245,181	$250,166	-$3,066	-1.2%	$6,583.30
5290 Snow Removal	$139,540	$145,822	$149,868	$10,328	7.4%	$3,943.89

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Valuation Discussion

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $414,000 or approximately 18.74 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.61% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 5.43x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Operating expenses totaled $129,000 or approximately 22.25 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $453,000, representing a 6.5% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Collections for the period were 95.8% of billed charges, with bad debt of 4.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 21 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Average rent is $18 per square foot with parking at a ratio of 18 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Income and Expense Review

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.79x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $328,000, representing a 5.3% increase over the prior year. Average rent is $18 per square foot with parking at a ratio of 42 spaces per 1,000 square feet.

The going-in capitalization rate of 5.49% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $451,000 or approximately 44.60 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Average rent is $18 per square foot with parking at a ratio of 16 spaces per 1,000 square feet.

Leasing and Marketing

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $18 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Operating Performance

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 7.32% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $348,000, representing a 7.4% increase over the prior year. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $212,000, representing a 2.7% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5260 Flooring	$433,583	$441,724	$459,923	$26,340	6.1%	$12,103.24
5270 Make-Ready / Turnover	$291,113	$311,804	$326,345	$35,232	12.1%	$8,588.02
5280 Landscaping Contract	$501,841	$519,451	$533,034	$31,194	6.2%	$14,027.22
5290 Snow Removal	$515,484	$498,229	$502,456	-$13,028	-2.5%	$13,222.53
5300 Janitorial	$40,966	$41,028	$42,238	$1,273	3.1%	$1,111.54
5310 Pest Control	$94,348	$94,269	$97,216	$2,867	3.0%	$2,558.31
5320 Trash Removal	$603,572	$651,088	$665,250	$61,677	10.2%	$17,506.57
5330 Elevator Contract	$593,309	$579,045	$581,646	-$11,663	-2.0%	$15,306.48
5340 Fire & Life Safety	$351,756	$365,081	$371,214	$19,458	5.5%	$9,768.79
5350 Security	$349,694	$363,240	$388,317	$38,623	11.0%	$10,218.87
5360 Electricity - Common	$378,378	$393,826	$395,590	$17,212	4.5%	$10,410.26
5370 Gas - Common	$143,850	$155,021	$158,797	$14,947	10.4%	$4,178.87
5380 Water & Sewer	$449,629	$418,705	$441,785	-$7,844	-1.7%	$11,625.91
5390 Telephone/Internet	$619,638	$635,807	$638,021	$18,383	3.0%	$16,790.03
5400 Advertising	$39,218	$40,633	$42,231	$3,014	7.7%	$1,111.35
5410 Resident Events	$308,990	$308,275	$315,042	$6,053	2.0%	$8,290.59
5420 Office Supplies	$411,767	$436,595	$459,144	$47,377	11.5%	$12,082.74
5430 Legal & Professional	$313,150	$312,527	$333,391	$20,241	6.5%	$8,773.45
5440 Accounting & Audit	$632,814	$634,343	$652,888	$20,074	3.2%	$17,181.27
5450 Licenses & Permits	$503,047	$528,929	$565,266	$62,219	12.4%	$14,875.42
5460 Management Fee	$460,827	$424,805	$443,007	-$17,820	-3.9%	$11,658.07
5470 Property Insurance	$90,901	$93,884	$98,605	$7,704	8.5%	$2,594.86
5480 Real Estate Taxes	$49,746	$51,827	$54,683	$4,937	9.9%	$1,439.02
5490 Asset Management Fee	$286,728	$264,756	$274,632	-$12,095	-4.2%	$7,227.17
5500 Replacement Reserves	$267,294	$286,394	$287,559	$20,265	7.6%	$7,567.35
5510 Roof Repairs	$476,556	$487,851	$507,179	$30,623	6.4%	$13,346.82
5520 Parking Lot Repairs	$234,669	$232,942	$248,548	$13,879	5.9%	$6,540.75
5530 Signage	$533,910	$568,119	$573,853	$39,943	7.5%	$15,101.39
5540 Tenant Improvements	$287,965	$305,868	$308,154	$20,189	7.0%	$8,109.31
5550 Leasing Commissions	$98,877	$99,750	$100,825	$1,948	2.0%	$2,653.29
5000 Gross Potential Rent	$635,191	$635,652	$653,011	$17,820	2.8%	$17,184.50
5010 Loss to Lease	$475,294	$474,595	$492,187	$16,893	3.6%	$12,952.28
5020 Vacancy Loss	$382,363	$387,972	$398,119	$15,756	4.1%	$10,476.81
5030 Concessions	$241,698	$251,979	$257,114	$15,416	6.4%	$6,766.16
5040 Bad Debt	$566,516	$585,073	$616,603	$50,087	8.8%	$16,226.40
5050 Late Fees	$617,321	$608,255	$650,600	$33,279	5.4%	$17,121.05
5060 Utility Reimbursements	$668,992	$679,976	$681,952	$12,960	1.9%	$17,946.11
5070 Parking Income	$179,497	$179,866	$184,809	$5,312	3.0%	$4,863.41
5080 Application Fees	$446,957	$475,855	$507,066	$60,109	13.4%	$13,343.84
5090 Pet Rent	$676,185	$716,611	$764,703	$88,518	13.1%	$20,123.77
5100 Laundry Income	$320,816	$307,065	$323,565	$2,749	0.9%	$8,514.88

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Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $18 per square foot with parking at a ratio of 30 spaces per 1,000 square feet. Effective gross income for the trailing period was $97,000, representing a 3.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $316,000 or approximately 8.36 per square foot, with real estate taxes representing the largest line item. Average rent is $18 per square foot with parking at a ratio of 44 spaces per 1,000 square feet.

Leasing and Marketing

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 2 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 91.2% of billed charges, with bad debt of 5.9% of gross potential income.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Average rent is $18 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day.

Valuation Discussion

Effective gross income for the trailing period was $400,000, representing a 7.0% increase over the prior year. The going-in capitalization rate of 7.82% reflects the in-place income and the stabilized occupancy assumption. Average rent is $18 per square foot with parking at a ratio of 41 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses.

Average rent is $18 per square foot with parking at a ratio of 38 spaces per 1,000 square feet. Effective gross income for the trailing period was $227,000, representing a 3.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $431,000 or approximately 24.48 per square foot, with real estate taxes representing the largest line item.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Collections for the period were 91.4% of billed charges, with bad debt of 4.0% of gross potential income. Average rent is $18 per square foot with parking at a ratio of 41 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 22 hours.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 26 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Operating Performance

Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x. Average rent is $18 per square foot with parking at a ratio of 37 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $343,000, representing a 3.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

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5080 Application Fees	$249,762	$248,311	$250,679	$917	0.4%	$6,596.82
5090 Pet Rent	$592,870	$589,372	$602,883	$10,013	1.7%	$15,865.35
5100 Laundry Income	$448,307	$475,356	$506,932	$58,625	13.1%	$13,340.30
5110 Cable/Internet Revenue	$614,522	$571,799	$572,366	-$42,156	-6.9%	$15,062.26
5120 CAM Reimbursements	$273,298	$265,756	$277,924	$4,626	1.7%	$7,313.80
5130 Tax Reimbursements	$609,143	$592,819	$601,095	-$8,047	-1.3%	$15,818.30
5140 Insurance Reimbursements	$596,091	$618,276	$650,149	$54,058	9.1%	$17,109.19
5150 Percentage Rent	$390,246	$377,915	$393,922	$3,676	0.9%	$10,366.38
5160 Misc. Income	$174,044	$175,067	$186,985	$12,940	7.4%	$4,920.65
5170 Payroll - Management	$548,938	$581,645	$591,288	$42,349	7.7%	$15,560.20
5180 Payroll - Leasing	$74,239	$71,405	$74,658	$419	0.6%	$1,964.69
5190 Payroll - Maintenance	$396,471	$404,974	$418,832	$22,361	5.6%	$11,021.90
5200 Payroll Taxes & Benefits	$313,119	$331,137	$347,908	$34,789	11.1%	$9,155.47
5210 Repairs - Plumbing	$513,229	$527,482	$532,172	$18,943	3.7%	$14,004.52
5220 Repairs - HVAC	$383,829	$404,559	$408,784	$24,955	6.5%	$10,757.48
5230 Repairs - Electrical	$611,099	$590,823	$626,056	$14,956	2.4%	$16,475.15
5240 Repairs - Appliances	$353,970	$329,405	$333,802	-$20,168	-5.7%	$8,784.26
5250 Painting & Decorating	$62,752	$62,951	$66,279	$3,528	5.6%	$1,744.20
5260 Flooring	$364,790	$344,920	$350,041	-$14,749	-4.0%	$9,211.60
5270 Make-Ready / Turnover	$121,704	$124,218	$125,055	$3,351	2.8%	$3,290.92
5280 Landscaping Contract	$497,402	$464,368	$493,610	-$3,792	-0.8%	$12,989.75
5290 Snow Removal	$339,486	$315,029	$325,298	-$14,188	-4.2%	$8,560.47
5300 Janitorial	$288,067	$295,661	$295,913	$7,846	2.7%	$7,787.17
5310 Pest Control	$88,189	$86,798	$88,130	-$59	-0.1%	$2,319.22
5320 Trash Removal	$586,000	$604,409	$613,235	$27,235	4.6%	$16,137.76
5330 Elevator Contract	$639,484	$594,659	$595,715	-$43,770	-6.8%	$15,676.71
5340 Fire & Life Safety	$448,696	$438,822	$469,241	$20,545	4.6%	$12,348.44
5350 Security	$592,697	$551,802	$566,947	-$25,750	-4.3%	$14,919.66
5360 Electricity - Common	$519,405	$503,294	$523,484	$4,079	0.8%	$13,775.90
5370 Gas - Common	$71,393	$70,465	$73,186	$1,793	2.5%	$1,925.95
5380 Water & Sewer	$495,259	$499,320	$509,603	$14,344	2.9%	$13,410.60
5390 Telephone/Internet	$351,275	$350,509	$371,635	$20,360	5.8%	$9,779.86
5400 Advertising	$545,827	$581,698	$621,015	$75,188	13.8%	$16,342.50
5410 Resident Events	$261,580	$256,353	$256,481	-$5,099	-1.9%	$6,749.51
5420 Office Supplies	$704,531	$680,537	$715,562	$11,031	1.6%	$18,830.57
5430 Legal & Professional	$376,423	$392,013	$399,260	$22,837	6.1%	$10,506.83
5440 Accounting & Audit	$618,173	$655,330	$679,316	$61,143	9.9%	$17,876.74
5450 Licenses & Permits	$613,096	$612,249	$618,722	$5,626	0.9%	$16,282.17
5460 Management Fee	$686,633	$693,597	$694,941	$8,308	1.2%	$18,287.92
5470 Property Insurance	$122,864	$129,329	$129,869	$7,005	5.7%	$3,417.60

Report generated 08/14/2023. Figures are unaudited and subject to change.

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Income and Expense Review

The going-in capitalization rate of 7.80% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $87,000 or approximately 35.48 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $360,000, representing a 8.4% increase over the prior year. Average rent is $18 per square foot with parking at a ratio of 45 spaces per 1,000 square feet.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Effective gross income for the trailing period was $444,000, representing a 7.0% increase over the prior year. The going-in capitalization rate of 6.27% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 31 hours. Collections for the period were 94.7% of billed charges, with bad debt of 3.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members.

Collections for the period were 95.2% of billed charges, with bad debt of 3.7% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 37 hours. Average rent is $18 per square foot with parking at a ratio of 35 spaces per 1,000 square feet.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Operating expenses totaled $318,000 or approximately 23.13 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $18 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 8.07% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. Collections for the period were 94.4% of billed charges, with bad debt of 7.9% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 48 hours.

Service requests are tracked through a work-order system with an average completion time of 12 hours. Collections for the period were 94.7% of billed charges, with bad debt of 6.4% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Average rent is $18 per square foot with parking at a ratio of 8 spaces per 1,000 square feet. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $406,000 or approximately 6.96 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 8.0% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

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Summary and Notes

Valuation Discussion

Average rent is $18 per square foot with parking at a ratio of 26 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $384,000 or approximately 42.72 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.81% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $18 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Property Operations

Average rent is $18 per square foot with parking at a ratio of 26 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Collections for the period were 94.5% of billed charges, with bad debt of 3.7% of gross potential income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 2 hours. Collections for the period were 94.8% of billed charges, with bad debt of 4.5% of gross potential income. Average rent is $18 per square foot with parking at a ratio of 6 spaces per 1,000 square feet.

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